

gradations of size, measuring the latter (1) by invested capital and alternatively (2) by the total value of all outstanding securities.⁶ This grouping gives us four classes; small companies, worth less than 10 millions; medium-sized companies, worth between 10 and 100 millions; large companies, worth between 100 millions and 1 billion; and a few giants, worth over a billion dollars each.

Nearly all the information to be supplied in this paper is presented in the various Tables I to VI appended. In addition to the main body of data, which use the Dec. 31, 1938 values as their base, we have also compiled the maximum and minimum stock values during the 1937–1938 period. The wide spread between these extremes—which were just 12 months apart in point of time—and the relationship that they presented to assets and earnings may throw an interesting light upon the character of the stock market in recent years.

COMMENTS ON THE TOTALS FOR 648 COMPANIES

Perhaps the most striking figure in the entire study is the total tangible assets available for common stock (Table I). This amounts to 22 billions compared with 32.4 billions of market value. Despite the general feeling that business has been unsatisfactory on the whole since 1930, despite the definitely poor results of 1938 and despite the reputed lack of confidence that is widely given as the reason for the failure of American business to attract new capital, investors were still willing to pay for industrial common stocks as a whole in 1938 and 1939—*about 50% more than the tangible capital that they represented.*

But this characteristic of the entire aggregation is by no means common to the vast majority of individual companies. No less than 307 concerns—or 47% of the total—were selling for *less* than tangible asset value. The same was true of 28 industrial subdivisions out of a total of 67.

When we study the groupings by size (Table III), we find that the small companies, measuring them by their *market value*, sell in the aggregate for much less than tangible assets, whereas the larger categories sell at so much more than asset value as to create the 50% premium for the grand total of all companies. It might appear from these figures that the small company, as such, is definitely at a disadvantage or a discount. Curiously enough, such is not the case. The small companies, in terms of *tangible assets*, actually sell at a *higher* premium than the others (Table IIIB). What has happened, in effect, is that the group *selling* for less than \$10,000,000 is heavily weighted by companies with fairly large tangible

⁶ In all these calculations common and preferred stocks have been valued at market price, but bonds have been taken at par. Although market prices for bonds also would have furnished a more exact measure, the difference at stake did not warrant the additional labor required.